SUBTERFUGE UNLIMITED

KLIS water could be the most expensive supplied by an irrigation project anywhere in the world

- To increase water lifting capacity to 3 TMC from two, BRS regime allegedly flouted norms to award contracts worth Rs 28,000 crore to MEIL; 73 crucial contracts regarding design, approach channel, pump house and others parcelled out in 19 days in 2016
- Rs 3,653 crore pressurised piped irrigation system used in some areas. CAG says cost of PPIS is Rs 7,465 per acre against open canal system's Rs 1,196 per acre
- BRS government had projected a 1.51 benefit cost ratio. CAG report says it will be less than 0.52 and the project was from the beginning 'economically unviable'
- Irrigation dept chief engineer C. Muralidhar and KLIS counterpart N. Venkateshwarlu sacked
- KLIS was to irrigate 70 per cent of Telangana, covering 80 of the 119 assembly constituencies. Only covers 10% of target area currently
- Medigadda barrage saw project costs revised twice, still went over by Rs 1,353 crore
- Two KLIS pump houses linked to Medigadda and Annaram barrages went under in the Godavari river floods in July 2022
- Six piers of Medigadda damaged in Oct. '23, forcing authorities to empty it. This reveals more damage downstream. Irrigation dept and L&T blame game begins



Medigadda barrage

issues plaguing the project. At the time of its inauguration, KLIS was supposed to irrigate 70 per cent of Telangana, covering 80 of the state's 119 assembly constituencies. But it has provided water to just 10 per cent of the targeted irrigation area. The actual command area (the extent that can be reliably irrigated by the source) is only 40,288 acres now against the set target of 1.83 million acres.

This is apart from the financial wrongdoings, which allegedly include off-budget loans of more than Rs 47,000 crore from commercial banks at unusually high interest rates. While the BRS government projected a 1.51 benefit cost ratio (BCR), the CAG report reveals that it would be less than 0.52 (for every rupee spent, returns are less than 52 paise). The BRS government is also accused of inflating the BCR to obtain statutory clearances as well as loans from financial institutions. 'It indicates that the project was, ab initio, economically unviable,' points out the CAG.

A preliminary investigation report by the vigilance department headed by DGP Rajiv Ratan shows that much of the work was executed at the behest of KCR, glossing over engineering and safety protocol. Many approvals were issued without supporting inspection notes of the higher authorities. The report found poor management of the structures and neglect in the Medigadda barrage construction. For instance, the cofferdam, along with the sheet piles, built for the construction phase of the barrage, was not removed before operations began.

It is the cost overruns, however, that are causing the highest consternation. A government expert committee report pointed out that the Medigadda project alone exceeded its original contract value by Rs 1,353 crore (this was after two revisions and project cost being fixed at Rs 4,613 crore). What is shocking is the cost escalation was allowed even after the date of completion of work. The investigation report says 'there were several deviations from the agreement conditions', including issuing of 'substantial completion certificate' to the agency on September 10, 2019, and a completion certificate again on March 15, 2021, when 'the whole of the work was not completed'.



"JUST BECAUSE MEDIGADDA HAS A FEW ISSUES, SAYING THE KLIS PROJECT IS A FAILURE IS NOTHING SHORT OF A CONSPIRACY"

K.T. RAMA RAO, BRS working president

The 1 TMC Question

Among the multiple grounds that the CAG offers for indictment, is also one pertaining to the 'taking up of additional one TMC (thousand million cubic feet) at a huge cost'. The KCR government had enhanced the lifting